TAB 7

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333 South Beaudry Ave,
Los Angeles, CA 90017

Los Angeles Unified School District

Board of Education Report

Back to Order of Business

File #: Rep-041-22/23, **Version:** 1

Application for Exemption from the Required Expenditures for Classroom Teachers' Salaries
September 13, 2022
Office of the Chief Financial Officer

Action Proposed:
Approve to submit a request to the Los Angeles County Office of Education (LACOE) for exemption from the Required Expenditures for Classroom Teachers' Salaries for Fiscal Year 2020-21 (enclosed herewith as "Attachment A").

Background:
California Education Code (EC) Section 41372, requires that unified school districts expend at least 55% of their current cost of education for classroom compensation, including benefits.

For fiscal year 2020-21, Los Angeles Unified School District (the District) was not able to meet the minimum spending requirement. The District spent $3.7 billion or 52.73% on classroom teacher salaries and benefit, which is $160.4 million or 2.27% below the 55% minimum. The reason for the shortfall was the significant amount of dollars spent on expenditures other than classroom salaries and benefits necessary to respond to the COVID-19 pandemic, including amounts paid to provide remote learning to students. The ratio is lower due to the significant increase in COVID-19 expenditures, which are part of the denominator of the formula. Examples of these expenditures included purchases of devices, connectivity, instruction software licenses, and other necessary expenditures to address distance learning, learning loss mitigation, and the health and safety of students.

Given the extraordinary circumstances brought about by the COVID-19 pandemic, the District is seeking exemption from the 55% requirement as it applies to fiscal year 2020-2021.

Expected Outcomes:
Upon adoption by the Board, the District submits the application for exemption to the County Superintendent of schools for review and approval or denial.

In the absence of approval of the exemption, the identified deficiency of $160.4 million may be designated by the County Superintendent and restricted for classroom teacher salaries in the current fiscal year.

Board Options and Consequences:
The Board may approve and direct District staff to submit the application for Exemption from the Required Expenditures for Classroom Teachers' Salaries, based on the hardship that would have been caused if the District were required to meet the 55% threshold for fiscal year 2020-21 under the circumstances. Assuming the exemption is granted, the District will not have additional restrictions placed on certain of its funds in the current fiscal year.

If the Board does not approve, the District shall not apply for the exemption. In the absence of a Board approved exemption, the County Superintendent of School will order the $160.4 million to be added to the amounts to be expended for salaries of classroom teachers in the current fiscal year. This would have a significant impact on amounts already budgeted for specific investment strategies in the current fiscal year.

Policy Implications:
Submission of the District's 2020-21 Current Expense of Education (CEA) Actuals exemption request shall comply with the Education Code and LACOE requirements.

Budget Impact:
With the exemption approval, the District shall be able to operate based on the approved budget for fiscal year 2022-23 and maintain reserves at the required statutory level, including maintaining the funding appropriated for investment strategies. Without the approval of exemption, the District shall review its spending priorities and reallocate program funding to meet the requirements of EC 41372.

Student Impact:
The District shall continue to operate and serve its student population.

Equity Impact:
See attached.

Issues and Analysis:
The District, like any other school district, has been the beneficiary of historic one-time funding from the federal government to mitigate learning loss brought about by the COVID-19 pandemic. It should be noted that it is this funding intended to help schools reopen and ensure a safe and healthy environment that causes a school district like the District to be non-compliant. This is due to a significant amount of dollars spent on expenditures other than classroom salaries and benefits because such expenditures were necessary to provide remote learning to students and to protect the health and safety of students as they returned to in-person learning. In addition, as the District continues to be challenged with a structural deficit wherein on-going expenditures are greater than on-going revenues, meeting the requirements of EC 71372 causes additional challenges to balance its budget.

Attachments:
Attachment A **-** Application for Exemption from the Required Expenditures for Classroom Teachers' Salaries

Informatives:
None

Submitted:
08/16/22

File #: Rep-041-22/23, **Version:** 1

RESPECTFULLY SUBMITTED,

ALBERTO M. CARVALHO
Superintendent

APPROVED BY:

MEGAN K. REILLY
Deputy Superintendent
Office of the Deputy Superintendent

REVIEWED BY:

DEVORA NAVERA REED
General Counsel

✓ Approved as to form.

APPROVED & PRESENTED BY:

David D. Hart

DAVID HART
Chief Financial Officer
Office of the Chief Financial Officer

REVIEWED BY:

TONY ATIENZA
Director, Budget Services and Financial Planning

✓ Approved as to budget impact statement.

Attachment C

INTEROFFICE CORRESPONDENCE
Los Angeles Unified School District
OFFICE OF THE CHIEF FINANCIAL OFFICER
Equity Impact Statement**

TO: Members, Board of Education
Alberto M. Carvalho, Superintendent

DATE: August 16, 2022

FROM: David Hart, Chief Financial Officer

SUBJECT: **BR-41-22/23 APPLICATION FOR EXEMPTION FROM THE REQUIRED EXPENDITURES FOR CLASSROOM TEACHERS' SALARIES**

Board Meeting Date:	**9/13/2022**

Equity Impact				
Component	**1**	**2**	**3**	**4**
Recognition	Does not recognize historical inequities	Vaguely recognizes historical inequities	Affirmatively recognizes historical inequities	Actively recognizes and specifies historical inequities to correct
Resource Prioritization	Does not prioritize resources based on student need	Somewhat prioritizes resources based on student need	Prioritizes resources based on student need	Effectively prioritizes resources based on student need
Results	Unlikely to result in closed opportunity gaps and/or closing achievement gaps	May result in closed opportunity gaps and/or closing achievement gaps	Likely to result in closed opportunity gaps and/or closing achievement gaps	Extremely likely to result in closed opportunity gaps and/or closing achievement gaps

Component	**Score**	**Score Rationale**
Recognition	**2**	Classroom expenses cover a wide range of spending that ranges from "not recognizing historical inequities" to "actively recognizing and specifying historical inequities".
Resource Prioritization	**2**	Resource prioritization varies from a district-wide perspective to a targeted student population based on student need and its impact on student achievement.
Results	**2**	Resources are allocated to the extent that it would support student needs, address priorities of achieving the District goals.
TOTAL	**6**	

Contact Person:	**Telephone:**	**Email:**
Luis V. Buendia Joy Mayor	(213) 241-2737 (213) 241-7952	luis.buendia@lausd.net joy.mayor@lausd.net

*****Form to be completed for Districtwide or partial Districtwide Board Report items that expend resources.***

Attachment A

California Department of Education
Sample Form (Rev 11/2007)

Application for Exemption from the Required Expenditures for Classroom Teachers' Salaries
Pursuant to Education Code Section 41372

To: County Superintendent of Schools

For __2020-21___fiscal year, the __Los Angeles Unified_ School District did not spend the minimum percentage of its budget on classroom teacher salaries as required by *EC* Section 41372. We are requesting an exemption from this requirement as provided by law.

Reason for request (Check one):

__X_ Serious hardship to the school district
(Please attach a written explanation, the district's latest interim report, and a multiyear projection for the current and two subsequent fiscal years that reflects the financial impact of meeting the requirement of *EC* 41372.)

_____ Payment of classroom teacher salaries that are in excess of those paid by other comparable school districts
(Please attach a classroom teacher salary & benefits comparison for at least three other comparable school districts. The comparison should include annual classroom teacher salaries paid at the beginning, average, and maximum salary levels plus the average annual employer contributions for health & welfare benefits.)

_____Deficiency is less than $1,000.00 (exemption is automatically approved)

A. Deficiency Amount
(Source: Form CEA)

1. Enter the minimum percentage for your district type. __55.00__%
(60% Elementary/ 50% High School/ 55% Unified)
2. Enter the percentage spent by your district. __52.73__%
3. Percentage below the minimum. ___2.27__%
(Line 1 minus line 2)
4. Enter the district's current expense of education (Form CEA)
$_7,067,634,749.22_
5. Deficiency Amount. $__160,435,308.81_
(Line 3 times line 4)

B. Certification of the School District Governing Board
It is hereby certified that the information contained in this application is true and correct.

______________________________ ______________________________
Signature of Authorized Official Title

______________________________ ______________________________
Print Name of Authorized Official Date

C. Decision of the County Superintendent of Schools
(Completed by the County Superintendent of Schools or Designee)

Based on my review of the information contained with this application, I have taken the following action with respect to the school district named on this application (Check one):

_____ I am granting the request for exemption from the requirements of *Education Code* Section 41372.

_____ I am granting a partial exemption from the requirements of *Education Code* Section 41372. The amount not exempted is $_______________ (A written explanation of the reason(s) for approving a partial exemption is attached.)

_____ I am denying the request for exemption from the requirements of *Education Code* Section 41372. (A written explanation of the reason(s) for denying the exemption is attached.)

It is hereby certified that the information contained in this application has been reviewed and is true and correct.

_________________________ ____________________/________
Signature of County Superintendent County Office/Date

_________________________ ____________________/________
Signature of Authorized Designee Title of Authorized Designee/Date

Application for Exemption from the Required Expenditures for Classroom Teachers' Salaries

Los Angeles Unified School District (the District) is providing this memorandum to explain the circumstances that resulted in the District's inability to meet the 55% minimum spending requirement for classroom compensation in Fiscal Year 2020-2021, and to support its application for exemption from that requirement due to the financial and operational hardship that would be caused to the District absent the exemption.

Fiscal year 2020-21 was an unprecedented time due to the COVID-19 pandemic. The District, like other school districts, has been the beneficiary of historic one-time funding from the federal government to mitigate learning loss and to address health and safety concerns arising from the COVID-19 pandemic. Primarily due to a significant amount of dollars spent in order to meet its obligations to its students and staff in responding to the monumental challenges presented by the COVID-19 pandemic, meeting the 55% spending requirement for classroom compensation was not feasible. Examples of these expenditures include purchases of devices, connectivity, instruction software licenses, and other necessary expenditure to address learning loss and the health and safety of students. The District had no choice but to incur these expenses to address the unprecedented challenges arising from the COVID-19 pandemic. Were it not for the COVID-19 specific expenditures using relief funds designated for such purposes, the District estimates that its ratio for the classroom compensation would have exceeded the 55% threshold.

The District never experienced this shortfall in the past. If the District were required to allocate dollars to meet the 55% requirement while it continues to receive and expend COVID-19 relief funds, it would cause serious hardship. The rate by which the District spends one-time COVID funding dollars to cover a wide array of expenses other than classroom teacher salaries remains significantly high brought about by operational needs and District strategic investment priorities. Based on FY 2021-22 Second Interim data, the District is projecting about $861 million deficiency on classroom expenditures (Exhibit A-1). Maintaining the 55% ratio would mean reallocating a significant amount of unassigned unrestricted General Fund to teacher salaries that is not sustainable or feasible given the limited amount of such funding, planned future use of dollars in alignment with the District's investment priorities, and the structural deficit that that the District projects, which is about $251.3 million and $228.1 million for 2022-23 and 2023-24 (Exhibit A-2), respectively. If the District is to reallocate one-time funding for on-going expenses, this will further aggravate the structural deficit situation that would lead to drastic program changes in future years that may not be operationally effective and more detrimental to its students. Had it not been for the pandemic, the District's ratio for the classroom compensation would have been 55.03% in 2020-21 (Exhibit A-3).

The District recognizes the importance of, and will continue to prioritize, classroom instruction. However, requiring the District to meet the 55% threshold under the present circumstances would create significant hardship for the District as it continues to address budgetary issues and expend dedicated COVID-19 relief funds specifically designated for the District's response to the extraordinary challenges presented by the COVID-19 pandemic. Hence, the District is requesting an exemption from the application of the 55% threshold for Fiscal Year 2020-2021.

Los Angeles Unified
Los Angeles County

PROJECTED CEA CALCULATION
2021-22 Second Interim
GENERAL FUND
Current Expense Formula/Minimum Classroom Compensation

EXHIBIT A-1
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Form CEA

PART I - CURRENT EXPENSE FORMULA	Total Expense for Year (1)	EDP No.	Reductions (See Note 1) (2)	EDP No.	Current Expense of Education (Col 1 - Col 2) (3)	EDP No.	Reductions (Extracted) (See Note 2) (4a)	Reductions (Overrides)* (See Note 2) (4b)	EDP No.	Current Expense- Part II (Col 3 - Col 4) (5)	EDP No.
1000 - Certificated Salaries	3,406,096,454.00	301	4,201,894.00	303	3,401,894,560.00	305	48,231,078.00		307	3,353,663,482.00	309
2000 - Classified Salaries	1,131,149,402.36	311	20,786,620.00	313	1,110,362,782.36	315	108,761,453.00		317	1,001,601,329.36	319
3000 - Employee Benefits	2,295,916,957.53	321	227,984,871.27	323	2,067,932,086.26	325	55,593,667.48		327	2,012,338,418.78	329
4000 - Books, Supplies Equip Replace. (6500)	618,232,368.65	331	10,803,226.00	333	607,429,142.65	335	58,422,153.91		337	549,006,988.74	339
5000 - Services. . . & 7300 - Indirect Costs	1,899,419,761.04	341	33,565,679.00	343	1,865,854,082.04	345	276,602,588.82		347	1,589,251,493.22	349
				TOTAL	9,053,472,653.31	365			TOTAL	8,505,861,712.10	369

Note 1 - In Column 2, report expenditures for the following programs: Nonagency (Goals 7100-7199), Community Services (Goal 8100), Food Services (Function 3700), Fringe Benefits for Retired Persons (Objects 3701-3702), and Facilities Acquisition & Construction (Function 8500).

Note 2 - In Column 4, report expenditures for: Transportation (Function 3600), Lottery Expenditures (Resource 1100), Special Education Students in Nonpublic Schools (Function 1180), and other federal or state categorical aid in which funds were granted for expenditures in a program not incurring any teacher salary expenditures or requiring disbursement of the funds without regard to the requirements of EC Section 41372.

* If an amount (even zero) is entered in any row of Column 4b or in Line 13b, the form uses only the values in Column 4b and Line 13b rather than the values in Column 4a and Line 13a.

PART II: MINIMUM CLASSROOM COMPENSATION (Instruction, Functions 1000-1999)	Object		EDP No.
1. Teacher Salaries as Per EC 41011.	1100	2,329,021,673.00	375
2. Salaries of Instructional Aides Per EC 41011.	2100	252,699,176.74	380
3. STRS.	3101 & 3102	587,761,089.00	382
4. PERS.	3201 & 3202	58,660,410.00	383
5. OASDI - Regular, Medicare and Alternative.	3301 & 3302	58,309,793.00	384
6. Health & Welfare Benefits (EC 41372) (Include Health, Dental, Vision, Pharmaceutical, and Annuity Plans).	3401 & 3402	451,017,140.59	385
7. Unemployment Insurance.	3501 & 3502	15,128,212.00	390
8. Workers' Compensation Insurance.	3601 & 3602	65,054,408.00	392
9. OPEB, Active Employees (EC 41372).	3751 & 3752	0.00	
10. Other Benefits (EC 22310).	3901 & 3902	0.00	393
11. SUBTOTAL Salaries and Benefits (Sum Lines 1 - 10).		3,817,651,902.33	395
12. Less: Teacher and Instructional Aide Salaries and Benefits deducted in Column 2.		167,113.00	
13a. Less: Teacher and Instructional Aide Salaries and Benefits (other than Lottery) deducted in Column 4a (Extracted).		182,441.00	396
b. Less: Teacher and Instructional Aide Salaries and Benefits (other than Lottery) deducted in Column 4b (Overrides)*.			396
14. TOTAL SALARIES AND BENEFITS.		3,817,302,348.33	397
15. Percent of Current Cost of Education Expended for Classroom Compensation (EDP 397 divided by EDP 369) Line 15 must equal or exceed 60% for elementary, 55% for unified and 50% for high school districts to avoid penalty under provisions of EC 41372.		44.88%	
16. District is exempt from EC 41372 because it meets the provisions of EC 41374. (If exempt, enter 'X')			

PART III: DEFICIENCY AMOUNT

A deficiency amount (Line 5) is only applicable to districts not meeting the minimum classroom compensation percentage required under EC 41372 and not exempt under the provisions of EC 41374.

1. Minimum percentage required (60% elementary, 55% unified, 50% high)	55.00%
2. Percentage spent by this district (Part II, Line 15)	44.88%
3. Percentage below the minimum (Part III, Line 1 minus Line 2)	10.12%
4. District's Current Expense of Education after reductions in columns 4a or 4b (Part I, EDP 369).	8,505,861,712.10
5. Deficiency Amount (Part III, Line 3 times Line 4)	860,793,205.26

PART IV: Explanation for adjustments entered in Part I, Column 4b (required)

The reason for the non-compliance in fiscal year 2020-21 is due to a significant amount of dollars spent on expeditures other than salaries and benefits of classroom instructions necessary to provide remote learning to students brought about by COVID-19 pandemic. These expenditures funded by COVID-19 Relief Funding constitute purchases of devices, connectivity, instruction software licenses, and other necessary expenses to address learning loss and safety of students.

Description	Object Codes	Projected Year Totals (Form 01I) (A)	% Change (Cols. C-A/A) (B)	2022-23 Projection (C)	% Change (Cols. E-C/C) (D)	2023-24 Projection (E)
(Enter projections for subsequent years 1 and 2 in Columns C and E; current year - Column A - is extracted)						
A. REVENUES AND OTHER FINANCING SOURCES						
1. LCFF/Revenue Limit Sources	8010-8099	6,002,753,919.26	-0.25%	5,987,687,548.00	-3.07%	5,803,748,987.00
2. Federal Revenues	8100-8299	2,813,505.18	2.66%	2,888,214.00	5.00%	3,032,624.00
3. Other State Revenues	8300-8599	89,781,925.28	-6.49%	83,955,760.00	-4.65%	80,049,980.00
4. Other Local Revenues	8600-8799	137,867,420.50	2.66%	141,534,072.00	-2.55%	137,921,018.00
5. Other Financing Sources						
a. Transfers In	8900-8929	45,045,000.00	-33.34%	30,025,494.00	0.00%	30,025,494.00
b. Other Sources	8930-8979	0.00	0.00%	0.00	0.00%	0.00
c. Contributions	8980-8999	(1,123,311,595.66)	11.46%	(1,252,060,781.00)	3.23%	(1,292,498,486.00)
6. Total (Sum lines A1 thru A5c)		5,154,950,174.56	-3.12%	4,994,030,307.00	-4.64%	4,762,279,617.00
B. EXPENDITURES AND OTHER FINANCING USES						
1. Certificated Salaries						
a. Base Salaries				2,237,472,043.00		2,307,836,862.00
b. Step & Column Adjustment						
c. Cost-of-Living Adjustment						
d. Other Adjustments				70,364,819.00		(30,318,701.00)
e. Total Certificated Salaries (Sum lines B1a thru B1d)	1000-1999	2,237,472,043.00	3.14%	2,307,836,862.00	-1.31%	2,277,518,161.00
2. Classified Salaries						
a. Base Salaries				643,120,241.00		636,577,923.00
b. Step & Column Adjustment						
c. Cost-of-Living Adjustment						
d. Other Adjustments				(6,542,318.00)		(926,423.00)
e. Total Classified Salaries (Sum lines B2a thru B2d)	2000-2999	643,120,241.00	-1.02%	636,577,923.00	-0.15%	635,651,500.00
3. Employee Benefits	3000-3999	1,271,560,990.00	6.17%	1,350,010,127.00	-0.57%	1,342,325,181.00
4. Books and Supplies	4000-4999	256,618,455.00	103.99%	523,476,014.00	-40.94%	309,177,970.00
5. Services and Other Operating Expenditures	5000-5999	451,587,475.00	9.38%	493,956,819.00	2.00%	503,824,952.00
6. Capital Outlay	6000-6999	31,807,710.00	-54.11%	14,598,121.00	2.22%	14,922,733.00
7. Other Outgo (excluding Transfers of Indirect Costs)	7100-7299, 7400-7499	5,024,421.00	44.40%	7,255,174.00	0.00%	7,255,174.00
8. Other Outgo - Transfers of Indirect Costs	7300-7399	(193,181,093.47)	-17.43%	(159,511,076.00)	4.95%	(167,407,193.00)
9. Other Financing Uses						
a. Transfers Out	7600-7629	21,298,930.00	233.80%	71,094,925.00	-5.57%	67,136,030.00
b. Other Uses	7630-7699	0.00	0.00%	0.00	0.00%	0.00
10. Other Adjustments (Explain in Section F below)				0.00		0.00
11. Total (Sum lines B1 thru B10)		4,725,309,171.53	11.00%	5,245,294,889.00	-4.86%	4,990,404,508.00
C. NET INCREASE (DECREASE) IN FUND BALANCE (Line A6 minus line B11)		429,641,003.03		(251,264,582.00)		(228,124,891.00)
D. FUND BALANCE						
1. Net Beginning Fund Balance (Form 01I, line F1e)		2,646,426,117.61		3,076,067,120.64		2,824,802,538.64
2. Ending Fund Balance (Sum lines C and D1)		3,076,067,120.64		2,824,802,538.64		2,596,677,647.64
3. Components of Ending Fund Balance (Form 01I)						
a. Nonspendable	9710-9719	46,631,545.77		46,631,546.00		46,631,546.00
b. Restricted	9740					
c. Committed						
1. Stabilization Arrangements	9750	0.00		0.00		0.00
2. Other Commitments	9760	0.00		0.00		0.00
d. Assigned	9780	1,386,943,729.00		1,831,526,296.00		1,932,102,918.00
e. Unassigned/Unappropriated						
1. Reserve for Economic Uncertainties	9789	199,860,000.00		204,510,000.00		192,270,000.00
2. Unassigned/Unappropriated	9790	1,442,631,845.87		742,134,696.64		425,673,183.64
f. Total Components of Ending Fund Balance (Line D3f must agree with line D2)		3,076,067,120.64		2,824,802,538.64		2,596,677,647.64

CLASSROOM EXPENSE RATIO

(WITHOUT COVID-19 FUNDED EXPENDITURES)

	2020-21 Audited
1000 - Certificated Salaries	2,973,591,131.63
2000 - Classified Salaries	998,652,128.42
3000 - Employee Benefits	2,030,028,133.39
4000 - Books, Supplies, Equip Replace (6500)	482,735,040.73
5000 - Services . . . & 7300 - Indirect Costs	582,628,315.05
COVID-19 Funded Expenditures	(608,241,522.60)
TOTAL	**6,459,393,226.62**
Teacher Salaries	2,160,294,400.23
Instructional Aides Salaries	276,188,405.35
STRS	554,692,726.34
PERS	56,378,754.55
OASDI	56,317,525.82
Health & Welfare Benefits	457,783,523.47
Unemployment Insurance	1,443,201.47
Workers' Compensation Ins	45,806,806.44
OPEB, Active	128,035,106.38
Other Benefits	-
Subtotal Salaries and Benefits	3,736,940,450.05
Allowed Standard Deductions*	(544,047.73)
COVID-19 Funded Expenditures	(181,938,283.52)
Total Salaries & Benefits	**3,554,458,118.80**
% of Current Cost of Education Expended for Classroom	**55.03%**
Minimum % Required	55.00%
% Spent by District	55.03%
% Below the Minimum	-0.03%
District's Current Expense of Education	6,459,393,226.62
Deficiency Amount	**(1,937,817.97)**

*Nonagency (Goals 7100-7199), Community Services (Goal 8100), Food Services (Function 3700), Fringe Benefits for Retired Persons (Objects 3701-3702), and Facilities Acquisition & Construction (Function 8500), Transportation (Function 3600), Lottery Expenditures (Resource 1100), Special Education Students in Nonpublic Schools (Function 1180), and other federal or state categorical aid in which funds were granted for expenditures in a program not incurring any teacher salary expenditures or requiring disbursement of the funds without regard to the requirements of EC Section 41372.

RESOLUTIONS